

SENATE BILL 1852

By Yarbro

AN ACT to amend Tennessee Code Annotated, Title 4,
Chapter 3, Part 10 and Title 71, Chapter 5, relative
to TennCare.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Title 71, Chapter 5, is amended by adding
the following as a new part:

71-5-1601. Short title.

This part is known and may be cited as the "TennCare Buy-In Act."

71-5-1602. Legislative findings.

The general assembly declares that:

(1) It is the intent of the general assembly to establish a TennCare buy-in
program that provides Tennesseans with an affordable path to health coverage
while ensuring fiscal responsibility through premium contributions and federal
cost-sharing;

(2) Creating a TennCare buy-in option would leverage this state's
existing TennCare infrastructure and provider networks to offer an affordable
coverage option for Tennesseans; and

(3) Such a program would reduce uncompensated care costs to hospitals
and healthcare providers, improve health outcomes for Tennesseans, and
support workforce stability.

71-5-1603. Part definitions.

As used in this part, unless the context otherwise requires:

(1) "Department" means the department of finance and administration;

(2) "Eligible individual" means an individual who meets the eligibility criteria established in § 71-5-1604;

(3) "Federal poverty level" or "FPL" means the most recently revised poverty guidelines published by the United States department of health and human services;

(4) "Program" means the TennCare buy-in program established under this part; and

(5) "TennCare" means the medical assistance program administered pursuant to this chapter.

71-5-1604. Establishment of program - Eligibility.

(a) The department shall establish a TennCare buy-in program to provide medical assistance coverage to eligible individuals.

(b) To be eligible for the program, an individual must:

(1) Be a resident of this state;

(2) Be at least eighteen (18) years of age but less than sixty-five (65) years of age;

(3) Not be eligible for medicare;

(4) Not be eligible for medical assistance under any other TennCare eligibility category;

(5) Not be incarcerated;

(6) Meet citizenship and immigration status requirements applicable to medical assistance under Title XIX of the federal Social Security Act (42 U.S.C. § 1396 et seq.); and

(7) Pay any required monthly premium in accordance with § 71-5-1605.

71-5-1605. Premiums and cost-sharing.

(a) The department shall establish a monthly premium schedule for the program based on household income as a percentage of the federal poverty level. The premium schedule must:

(1) Be structured on a sliding scale such that premiums increase with income; and

(2) Be designed to ensure affordability while generating revenue to support program sustainability.

(b) The department may establish lower premiums or waive premiums for individuals whose household income falls below thresholds established by rule.

(c) Premiums must be paid monthly and are due on the first day of each month. The department may establish a grace period not to exceed thirty (30) days for premium payment.

(d) The department shall terminate the coverage of an individual who fails to pay premiums within the grace period. An individual whose coverage is terminated for nonpayment of premiums:

(1) May be subject to a lockout period of up to three (3) months before being permitted to re-enroll; and

(2) Must pay any outstanding premiums before re-enrolling.

(e) The department shall establish cost-sharing requirements, including copayments and deductibles, in accordance with federal law. The cost-sharing requirements must not exceed the cost-sharing limits applicable to medical assistance under Title XIX of the federal Social Security Act (42 U.S.C. § 1396 et seq.).

71-5-1606. Benefits.

(a) The department shall enroll an eligible individual who is enrolled in the program in a managed care organization plan. Such enrollee is eligible for the full scope

of medical assistance benefits provided under the TennCare program state plan, excluding non-emergency medical transportation assistance.

(b) Benefits must be delivered through the same managed care organizations and provider networks used for other TennCare populations, unless the department determines that an alternative delivery system is more appropriate and cost-effective.

71-5-1607. Application and enrollment.

(a) The department shall ensure that an individual may apply for enrollment in the program:

- (1) Through the department's online portal;
- (2) By mail using a paper application;
- (3) Through a TennCare eligibility specialist; or
- (4) Through authorized community partners and enrollment assistance providers.

(b) The department shall make eligibility determinations within sixty (60) days of receiving a complete application.

(c) Enrollment is effective on the first day of the month following the month in which eligibility is determined and the first premium payment is received.

(d) An eligible individual must renew the individual's eligibility annually. The department shall conduct annual redeterminations using available data sources and shall minimize administrative burdens on enrollees to the greatest extent possible.

71-5-1608. Program administration.

(a) The department shall administer the program and has the authority to:

(1) Adopt rules necessary to implement and administer the program, including, but not limited to, rules regarding:

- (A) Application procedures and eligibility verification;

(B) Premium payment and collection procedures;

(C) Enrollment and disenrollment procedures;

(D) Appeals and fair hearing processes; and

(E) Program reporting requirements;

(2) Contract with managed care organizations, third-party administrators, or other entities as necessary to implement the program;

(3) Coordinate with the department of labor and workforce development and other agencies to verify employment and income information;

(4) Establish procedures for collecting premiums, including the use of electronic payment systems and automatic payment options;

(5) Implement measures to prevent fraud, waste, and abuse; and

(6) Take any other actions necessary to effectively implement and administer the program.

(b) Rules adopted pursuant to this section must be promulgated in accordance with the Uniform Administrative Procedures Act, compiled in title 4, chapter 5.

71-5-1609. Federal approval and funding.

(a) The department shall timely seek any necessary federal approvals to implement the program, including, but not limited to:

(1) A state plan amendment under Section 1902 of the federal Social Security Act (42 U.S.C. § 1396a); or

(2) A waiver under Section 1115 of the federal Social Security Act (42 U.S.C. § 1315), if required.

(b) To the extent permissible under federal law, the department is authorized to seek federal financial participation for medical assistance subject to reimbursement at

the federal medical assistance percentage (FMAP) applicable to this state's medicaid program or to allocate shared-savings to support the program.

(c) Premium revenues collected under the program must be deposited in a dedicated account and used solely for the purpose of defraying state costs of the program.

71-5-1610. Fiscal review and sustainability.

(a) The department shall conduct a comprehensive fiscal analysis of the program within two (2) years of implementation and every three (3) years thereafter.

The analysis must include:

- (1) Actual versus projected enrollment and costs;
- (2) Premium revenue adequacy;
- (3) Federal match rate and any changes affecting federal funding;
- (4) Impact on the state budget;
- (5) Offsets from reduced uncompensated care costs; and
- (6) Recommendations for adjustments to premium schedules, eligibility criteria, or other program parameters to ensure long-term sustainability.

SECTION 2. If any provision of this act or its application to any person or circumstance is held invalid, then the invalidity does not affect other provisions or applications of the act that can be given effect without the invalid provision or application, and to that end, the provisions of this act are severable.

SECTION 3. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 4. This act takes effect upon becoming a law, the public welfare requiring it.